loss into a percentage to see if you can tolerate the loss.

Busted trade. Icups that bust tend to make large moves upward during recovery. Trading a busted pattern might make more sense than trying eke out a small profit from shorting.

Sample Trade

Sam, short for Samantha, works as a blackjack dealer in Las Vegas. She takes the money earned from tips and invests it in the stock market. In the decade since she started tossing cards, she has built a tidy nest egg. **Figure 22.6** shows an inverted cup-with-handle dealt her and how she traded it.

The first thing Sam did was to qualify the pattern. Did it meet the identification guidelines listed in Table 22.1? Quickly running through them, we find that the cup looked rounded with rims uneven but not too far apart in price. The handle showed a distinct bump up (in May) but some distance away from the cup. She did not know if this made any difference. The handle retraced 69% back toward the high at A.

Patiently, she counted cards until the odds stacked in her favor. “When price closed below the right cup lip, I shorted the stock at 7.90. The following day's tall trading range bothered me, but the close was in the middle of the intraday range, so it was not a one-day reversal. Fortunately.”

Price eased down each day (but not quickly enough to suggest a sale), attempted a pullback at the start of July, but soon continued lower.

After a few weeks, “I drew a trendline down,” as shown in the figure.

“I measured the cup height and handle height as a kind of target window [both subtracted from the right rim low] but found that price had declined below the window. So I placed a stop-loss order at 6.10, a few cents above the brief pause in mid-July” [the “Cup Target” in the figure points to just above her stop price].